

Robustness -- Italy: local vs global content and the euro crisis

| Subsample                  | Months | R2 CF (IS) | R2 GCF (IS) | t(CF_perp) | t(GCF) | R2 CF (OOS) | R2 GCF (OOS) |
|----------------------------|--------|------------|-------------|------------|--------|-------------|--------------|
| Full sample                | 352    | 0.285      | 0.078       | 3.74       | 2.08   | −0.053      | −0.020       |
| Pre-crisis (..2007:06)     | 151    | 0.447      | 0.063       | 5.32       | −0.72  | --          | 0.077        |
| Financial crisis (2007–09) | 30     | 0.468      | 0.016       | 6.60       | −3.38  | --          | −0.127       |
| Euro crisis (2010–12)      | 36     | 0.748      | 0.280       | 10.38      | −0.44  | 0.215       | −0.031       |
| Post-crisis (2013–)        | 135    | 0.184      | 0.163       | 2.58       | 2.67   | −0.153      | −0.010       |

Italian local-currency rx\_t12 across subsamples. 'R2 CF (IS)' and 'R2 GCF (IS)' are single-factor in-sample fits; t(CF\_perp) and t(GCF) are the horse-race HAC t-statistics from  $rx \sim CF\_perp + GCF$ , with CF\_perp the part of the Italian cycle factor orthogonal to the global factor (full-sample projection). 'R2 CF/GCF (OOS)' are the recursive Campbell-Thompson R2 scored in the window. The surviving local Italian content of Phase II is concentrated in the 2010–2012 sovereign-debt crisis.